



Public Competition Assessment

28 November 2024

Qantas - proposed acquisition of Alliance

The ACCC's decision

1. On 20 April 2023, the ACCC announced its decision to oppose the proposed acquisition by Qantas Airways Limited (**Qantas**) of the remaining shares in Alliance Aviation Services Limited (**Alliance**) that it did not already own (the **proposed acquisition**).
2. The ACCC considered that the proposed acquisition was likely to contravene section 50 of the *Competition and Consumer Act 2010* (the **Act**). Section 50 prohibits acquisitions that would have the effect, or be likely to have the effect, of substantially lessening competition in any market.
3. The ACCC considered the competitive effects of the proposed acquisition in the markets for:
 - the supply of charter services to resource companies using midsized jet aircraft in Western Australia
 - the supply of air transport services to resource companies (including both charter and regular passenger transport (**RPT**) services) using large turboprop aircraft, midsized jet aircraft or both, in Queensland.
4. The ACCC considered that Alliance is an important competitor to Qantas in both markets, and the removal of Alliance was likely to substantially lessen competition, resulting in increased prices and reduced service quality for resource industry customers.
5. This Public Competition Assessment outlines reasons for the decision by the ACCC to oppose the proposed acquisition.
6. Please note that this and other public competition assessments are subject to the following qualifications:
 - The ACCC considers each transaction on a case-by-case basis and so the analysis and decision outlined in one assessment will not necessarily reflect the ACCC's view of another transaction.

- As assessments are relatively brief and do not refer to confidential information, assessments do not necessarily set out all of the issues and information considered by the ACCC.

The parties and the transaction

The acquirer: Qantas

7. Qantas is an Australian airline which operates RPT services across all Australian states and territories, as well as “fly-in fly-out” (**FIFO**) charter services predominantly in Western Australia and Queensland. It has the largest fleet of aircraft in Australia, featuring a range of aircraft suitable for air transport services to and from regional and remote resource locations. It also operates an extensive network of international air transport services.
8. At the time of the ACCC’s assessment:
 - Qantas’ fleet used for resource customers totalled 80, which included 18 Fokker F100s, 31 Bombardier Dash 8-400s, 20 Boeing 717-200s and 11 Airbus A320s.
 - Qantas also wet-leased¹ approximately 18 Embraer E190s from Alliance and had the option to lease up to 30 for RPT services.
9. Qantas is listed on the Australian Securities Exchange (ASX: QAN). Its subsidiaries include Jetstar (which operates domestic and international flights), QantasLink (a regional airline), and Network Aviation (a charter services and regional airline based in WA).

The target: Alliance

10. Alliance is an aviation services company specialising in the provision of charter services to corporate customers, mainly resource industry customers such as mining and gas companies that require the transport of FIFO workers to remote locations. Its fleet is predominantly medium-sized aircraft with approximately 100 seats.
11. Alliance also leases aircraft to other airlines and is a major supplier of wet-leased medium-sized aircraft in Australia. At the time of the ACCC’s consideration, Alliance wet-leased aircraft to Qantas and Virgin, and dry leased² aircraft to Airnorth. Alliance also supplies other associated aviation services, including the sale and leasing of spare parts and replacement engines, inhouse maintenance services and engineering services.
12. At the time of the ACCC’s assessment, Alliance’s fleet totalled 70, comprised of 24 Fokker F100s, 13 Fokker F70s and 33 Embraer E190s in service, with orders for an additional 30 E190s by January 2026.

¹ A wet lease is an arrangement where the lessor provides the aircraft inclusive of crews, maintenance and insurance.

² Dry leasing generally involves the supply of the aircraft without operation, crew, insurance, maintenance and engineering services.

13. Alliance is listed on the Australian Securities Exchange (ASX: AQZ).

The transaction

14. On 1 February 2019, Qantas announced it had acquired a 19.9% holding in Alliance.
15. On 5 May 2022, Qantas announced that it proposed to acquire the remaining shares in Alliance that it did not already own, by way of a Scheme of Arrangement.
16. On 20 April 2023, the ACCC opposed the proposed acquisition.
17. On 19 October 2023, Qantas and Alliance announced that they had agreed to terminate the Scheme Implementation Deed.

Market inquiries

18. The ACCC conducted market inquiries with a range of industry participants, including competitors, potential competitors, customers, industry bodies, other regulatory agencies and other interested parties.

Industry background

19. Resource companies will often have worksites in remote or regional locations, with requirements to fly workforces to and from these worksites at specific times. Such companies include some of the largest mining companies in Australia.
20. To meet their operational requirements, resource companies need reliable and regular services with aircraft of the right size and capacity to efficiently transport their workers. Many of the destination airports relevant to the ACCC's review have limitations on the size of the aircraft that can be accommodated by the airport infrastructure, meaning that they are unable to accept large aircraft.
21. The air transport services acquired by these customers vary depending on the requirements of each customer. Resource customers may utilise closed charter³ services or RPT services (either by acquiring individual seats or on an open charter basis which involves acquiring minimum blocks of seats), or a combination of these. A resource customer may choose to use RPT services where:
 - there is a public airport and an RPT service in close proximity to the customer's worksite
 - the flight schedule meets the operational needs of the customer
 - it is cost effective, which will depend on the number of seats that the resource customer requires on a plane

³ Dedicated charter services involving the use of the whole aircraft.

- seats are readily available.
22. Airlines use a range of service models to provide air transport services to resource companies. This includes aircraft owned and crewed by the airline, and wet or dry leased aircraft from other airlines to provide the services. Typically, small and midsize aircraft are used to service resource companies due to airport runway requirements, route length and financial considerations.

Other industry participants

23. Virgin Australia is based in Brisbane and operates an extensive network of domestic and some international air transport services. Virgin Australia Regional Airlines (**VARA**) is Virgin's regional brand and is based in Perth. Its fleet is mostly medium and larger sized aircraft. At the time of the ACCC's assessment:
- Virgin operated RPT services, and VARA operated charter services to resource customers using 10 Fokker F100s and 7 Airbus A320s in Western Australia.
 - Virgin operated RPT services in Queensland, using a combination of approximately 5 Fokker F70s and/or Fokker F100s wet leased from Alliance, together with its own fleet of Boeing 737s.
24. Rex, a NSW based airline, announced its acquisition of National Jet Express, being Cobham's regional services arm on 15 July 2022. National Jet Express operates charter flights in Western Australia (focusing on the Goldfields region) and in Queensland. At the time of the ACCC's assessment, National Jet Express had a fleet of 8 Bombardier Q400s, 6 Embraer E190s and 2 Avro RJ100s. Rex also operated RPT flights in Queensland and Western Australia.
25. There are also several smaller regional airlines that operate charter flights in the relevant regions:
- Skippers Aviation,⁴ Airnorth⁵ and Hevilift⁶ operate in Western Australia
 - Pionair⁷ and Hevilift operate in Queensland.

Charter alliance agreement

26. In May 2017, Virgin and Alliance entered into a charter alliance agreement to jointly tender and supply services to resource industry customers. On 27 May 2022, Virgin and Alliance sought authorisation to give effect to an extension of the charter alliance, which the ACCC assessed under the authorisation statutory

⁴ At the time of the ACCC's assessment, Skippers had fleet of 25 aircraft, including 2 Fokker F100s and 23 turboprop aircraft with seat capacities ranging from 11 to 52.

⁵ Airnorth had a fleet of 12 aircraft including 3 Embraer E170s and 3 Embraer E190s at the time of the ACCC's assessment. The ACCC understood that the E190s are leased from Alliance.

⁶ At the time of the ACCC's assessment, Hevilift had a fleet of 4 ATR72 turboprop aircraft.

⁷ At the time of the ACCC's assessment, Pionair had a fleet of 14 aircraft. Its principal business is in freight services, not charter.

framework. On 5 May 2023, the ACCC denied authorisation for the extension of the charter alliance agreement.

27. As part of the consideration of Qantas' proposed acquisition of Alliance, the ACCC also considered the implications of the charter alliance agreement.

Areas of overlap and market definition

28. The ACCC's starting point for considering which markets will be affected by the proposed acquisition is to identify the areas of overlap between the products and services actually or potentially supplied by the merger parties. The ACCC then considers other actual or potential suppliers of those products and services as well as what other products and services constitute sufficiently close substitutes to provide a significant source of constraint on the merged entity.
29. The main overlaps between Qantas' and Alliance's services were:
- Charter services to resource customers in Western Australia using midsized jet aircraft.⁸ While Qantas also provides other air transport services (including both charter and RPT services) using larger jets, Alliance did not.
 - Charter services to resource customers in Queensland using midsized aircraft. At the time of the ACCC's consideration, they both also provided RPT services on the Brisbane-Moranbah route and this was the only RPT route Alliance serviced in Australia.
30. The ACCC identified that there are routes in Western Australia that can only be efficiently served by charter services using midsized jet aircraft. Charter services using different sized jet aircraft, turboprop aircraft or RPT services are not sufficiently close substitutes on these routes.
31. The ACCC identified that the demand for air transport services in Western Australia differed from demand in Queensland due to the different geographical and population characteristics. In Queensland, route distances are typically shorter than in Western Australia. In Queensland, there are also a larger number of population centres near resource customers' mining sites than in Western Australia. As such, jet and turboprop services, and charter and RPT services compete closely for Queensland resource companies.
32. Therefore, the ACCC considered the effects of the proposed acquisition in relation to:
- a market for the supply of charter services to resource companies using midsized jet aircraft in Western Australia
 - a market for the supply of air transport services to resource companies (including both charter and RPT services) using large turboprop aircraft, midsized jet aircraft or both, in Queensland.

⁸ Approximately 70 to 140 seats.

Competition analysis

33. The ACCC considered that the proposed acquisition would be likely to substantially lessen competition in the markets for:
- the supply of charter services to resource companies using midsized jet aircraft in Western Australia
 - the supply of air transport services to resource customers (including both charter and RPT services) using large turboprop aircraft, midsized jet aircraft or both, in Queensland.
34. The ACCC's review identified that Qantas and Alliance were the two largest suppliers of charter services using midsized jets and each other's closest competitors. Data available to the ACCC shows that a combined Qantas-Alliance would have a market share in excess of 60% in Western Australia, and a market share of approximately 70% to 80% in Queensland. The ACCC found that there was particularly strong competition between Qantas and Alliance in Queensland on the Brisbane-Moranbah route.⁹
35. Market feedback from resource customers emphasised Alliance was a vigorous and effective competitor. Customers commented on Alliance's flexible and customer centric approach, industry-leading reputation for providing reliable services and its substantial fleet of midsized jets.
36. The ACCC considered that competition from existing providers of charter services would not be sufficient to constrain a combined Qantas-Alliance. While Virgin would remain a sizeable supplier of air transport services to resource customers in Western Australia, the ACCC considered that the strength of the constraint from Virgin would be limited due to its limited fleet of midsized jets. Other suppliers, including National Jet Express, Skippers, Airnorth and Hevilift, all lacked sufficient scale in their midsized jet fleets to be considered strong competitors.
37. In Queensland, the ACCC considered that there were very few alternative suppliers of air transport services operating in Queensland at sufficient scale. Data available to the ACCC indicated that alternative suppliers, including but not limited to Virgin and National Jet Express, each had small market shares.
38. The ACCC also considered the extent to which the threat of new entry or expansion was likely to constrain a combined Qantas-Alliance. The ACCC found that there are significant barriers to entry and expansion which operate to prevent new entry or expansion occurring in a timely or sufficient way to constrain a combined Qantas-Alliance. The evidence available to the ACCC demonstrated the importance of scale (including fleet size), the importance of a demonstrated history of operating a charter service, and regulatory and operational challenges.
39. The evidence available to the ACCC also demonstrated that customers do not hold a sufficient degree of countervailing power to constrain a combined

⁹ This route accounts for approximately 38% of all charter traffic in Queensland.

Qantas-Alliance. This is due to the barriers to entry and expansion, such that self-supply or sponsoring expansion is not a viable or attractive option for most resource customers.

40. As such, the ACCC considered that post acquisition, Qantas would likely be able to increase prices and/or decrease service quality for resource companies in Western Australia and Queensland.

Conclusion

41. Based on the above analysis, the ACCC concluded that the proposed acquisition of the remaining shares in Alliance by Qantas would be likely to have the effect of substantially lessening competition in each of the markets considered.